

into the specifics of three different strategies—investing in index funds, your own business, and real estate—that enable you to achieve FI quickly. This overview highlights the advantages and drawbacks of each approach.

The Simple Path

The phrase “the simple path” is taken from the title of JL Collins’s book *The Simple Path to Wealth*. This approach utilizes traditional paper investments (stocks and bonds) held in low-cost passive index funds. The simple path is consistent with solid investing advice from outside the FI world but with one big exception. Instead of saving 10 to 20 percent of your income as typically recommended, you combine strategies from earlier sections of the book to develop a higher savings rate of 30 percent, 50 percent, even 80+ percent for some. The higher the savings rate, the shorter the time to FI.

Several aspects make this approach appealing. It works well for those who can develop a high savings rate because they earn a high income, live frugally, or some combination of the two. It is simple because it requires little effort after you learn what investments to put your money into, set appropriate expectations, and learn to manage behavior.